



Janaína Storti – Head of IR

Hello, good morning, everyone. I'm Janaína Storti, Head of Investor Relations at Banco do Brasil. Welcome to our third quarter 2024 results live. Our event will be in Portuguese, with simultaneous translation into English and you can choose between three audio options: original, Portuguese or English. Joining us today are our president, Tarciana Medeiros, our CFO, Geovanne Tobias and our CRO, Felipe Prince.

We will start with a speech from our CEO, Tarciana, and then move on to the Q&A session. Since the beginning of this year, we have changed the format of our Live, and on the night of the release, we now provide the CFO's presentation of the results in advance. This allows us to dedicate a bit more time to the Q&A session here. This commented presentation is available on our Investor Relations website. Now, I will pass the word to our CEO, Tarciana. Please, Tarcia.

Tarciana Medeiros- CEO

Thank you, Jana. Good morning, everyone! Thank you very much for joining our earnings live stream once again! During this moment of interaction and dialogue with analysts and investors, I know that many journalists and employees are also following this event. As you saw in the video we presented before the live stream, culture moves us. It gives identity to a people, promotes their development, creates bonds, and fosters the economy.

Banco do Brasil has believed in and supported Brazilian culture for over 35 years. There have been more than three decades of uninterrupted promotion of various artistic expressions in Brazil and around the world, democratizing the population's access to quality initiatives. And it is also our BB culture, our DNA, that drives us towards another quarterly result. We have reinforced, quarter after quarter, this management's commitment to adding value to our shareholders, customers, suppliers, employees and the entire Brazilian society. This is translated into numbers in the value-added statement, which totaled R\$63.4 billion. Discipline in executing our corporate strategy guides what we announce at this time. A result of R\$9.5 billion this quarter. This profit represents more than an increase of 8.3% compared to the same period last year. It reflects the way of being of the entire Banco do Brasil team, with proximity, knowledge and specialization in the needs of our customers, relationships and great proximity. I would like to take this opportunity to record here my gratitude to my colleagues at Banco do Brasil and the companies that make up our conglomerate for this collective and continuous construction. Guys, there are more than 125,000 people dedicated to supporting the realization of dreams or the transition through



difficult times for our customers, promoting job creation and the social and economic development of our country, in every corner from north to south.

And this is reflected in a relevant foundation of our operations, which is the integration of value chains and the participation of conglomerate companies in our results. As you know, credit is, no doubt, an important pillar of our main business. We have credit in an integrated and synergistic way in the markets where we operate, in a balanced composition between risk and return. We surpassed 1.2 trillion reais in the balance of our credit portfolio, an increase of 13% in one year. Credit disbursement this quarter reached more than R\$160 billion. This number is the result of commercial strategies, new solutions, process improvements, hyper-personalization in approaches and interactions with customers, in addition to financial advice.

For individuals, I highlight the 11.2% growth in payroll loans in one year, with record disbursement for the period. You will remember that I have already commented in previous meetings about our strategy to grow in the INSS payroll. In the last 12 months, we increased this portfolio by 21%, expanding service to beneficiaries and providing the best credit conditions. And we are also making progress in private payroll loans. We reached R\$1.4 billion in this portfolio, an increase of 23% in one year. And here we see a relevant opportunity for growth. We expanded the companies loan portfolio by 13.5% to more than R\$421 billion, which demonstrates our support for entrepreneurship, proximity to large companies and strong performance throughout the value chain. One of the highlights is our portfolio of micro, small and medium-sized companies, which increased by 7% compared to September 2023. Another highlight was the 14.6% growth in the corporate portfolio, especially in the middle and uppermiddle segments. The Government portfolio grew 22.8% in one year. This portfolio is mainly focused on investing in urban mobility, health, education and public security, generating effective benefits for the population and contributing to the development of our country. In addition to being an extremely profitable portfolio. We remind you that most of these operations are guaranteed by the Treasury. Excellent risk-adjusted return. The third important component in this credit portfolio is agriculture. Banco do Brasil is the bank of agriculture and remains the bank of agriculture. We totaled R\$386 billion in balance, with an expansion of 13.7% in 12 months, driven by working capital, which grew by 19% in the period, and by investment lines, with an increase of 16.5%. And speaking of agriculture, I want to delve deeper into our performance in the sector and the moment in the cycle we are going through.

In this quarter, delinquency rates increased by 65 bps, reaching 1.97%. But with a highly qualified team that thoroughly understands the segment, we are carrying out detailed mapping of the field, talking to our customers, applying analytical intelligence and we have a broad base of historical data and we call on our experts. We are seeking a dialogue on the current context



and, more importantly, we have drawn up a plan to rehabilitate a healthy credit profile for our customers. The first thing that this diagnosis made clear, and it is something that I have been stressing for a long time, is that there is no crisis in Brazilian agribusiness. Delinquency in our portfolio are not widespread. Almost 80% of the increase is related to soybean cultivation, especially in the Central-West region. See that 98% of agricultural operations continue to be honored. Everyone continues to honor their commitments. There are more than 200 cultures where we operate across the country. Guys, agribusiness is cyclical. At this time, it is essential to adjust the cash flow of some producers, adopting an individual analysis when granting and regularizing credit. And here I want to draw your attention to something new, which is the court reorganization of rural growers.

It is an instrument used by few, but it has negative effects and has negative effects on everyone. And we saw its representation increase in the last quarter. Today we have 210 customers in the court reorganization that represent 0.01% of our total agricultural customers. In the default of the Agribusiness portfolio, court reorganization impacted around 15% of the outstanding balance. Recently, our CRO, Felipe Prince, declared that the Rural Producer's court reorganization is not healthy. And I go further. The court reorganization of rural producers makes access to credit unfeasible, compromises the confidence of the agricultural chain, creates a disruption in the economic activity of rural women and men and impacts the cost for the entire segment. I want to reiterate that we are and have always been close and relevant in the producer's life and that there are structural alternatives, including those provided for in the Rural Credit Manual, which are much more appropriate to get through this moment, instead of simply using the court reorganization route. Agribusiness remains strong and resilient and will continue to be an important pillar for the Brazilian economy and Banco do Brasil's results. While the 24/25 harvest is underway, with planting at full speed and could be the largest in history, we have a constructive scenario, with crops showing an important improvement in price, an important improvement in the margin, such as corn, coffee and livestock.

The expectation is for more climate neutrality in the coming months, therefore, our projections indicate a growth of more than 5% in agribusiness GDP in 2025. The strength of Banco do Brasil's agribusiness in agribusiness is realized in disbursements of more than R \$100 billion in 271,000 operations. Furthermore, we increased our participation in disbursements in the system, with equalized resources compatible with the size of Banco do Brasil in agriculture. And then we were able to serve a greater number of our customers in a specialized way. We also won back great producers who had stopped working with us in the last harvest. Given the competitive scenario, but in a long-term view, the use of biofuels will gain more traction. And productivity supported by technology will continue to transform the field.



Brazil will increasingly be a reference in sustainable agriculture, bioeconomy, and recovery of degraded pastures. The demand for food produced here is growing. We will continue to be the bank of Agribusiness, offering technical advice, more complete solutions for credit, investment, consortia, insurance. All of this is aligned with our purpose of being close and relevant at all times. In fact, this proximity is not limited to the agricultural customer, but to all customers. I draw attention, once again, to our objective of offering a Banco do Brasil for each customer. The term hyper personalization has become increasingly common, but BB is a pioneer in this movement and has long invested in the development of models supported by analytical intelligence to create closer and more assertive relationships.

Today we are reaping the fruits of this strategy, boosting business and generating value. You will remember that we announced here a few quarters ago the investment we made to improve our CRM tool for a 360-degree view. This year, through the new platform, our specialized teams have already carried out more than 2,800 personalized strategies for individual and small business clients and they have generated more than 475,000 interactions, millions of interactions. It's our constantly evolving MarTech operation. 70% of the entire volume disbursed in credit to individuals, from January to September 2024, was made by customers identified through our intelligence models and contacted through our CRM.

This is a truly phygital operating strategy that combines the efficiency and scale of our digital channels, with specialized advice and consultancy from our employees, according to the profile of each client and their channel preference. Another highlight that I want to bring to you is our excellence in specialized relationships, where the human factor counts a lot, being our biggest differentiator. Be it on physical or digital channels. Our Private Estilo segment recently completed 20 years. There are two decades of trust and security, accompanying these customers' journeys side by side. We have the largest high-income network on the market. Today we are the private banking company with the greatest reach, operating in Brazil and abroad. This quarter, once again, managed resources from clients in this segment grew above the market average.

Our Estilo segment is present in all capitals of the country, providing delivery of our differentiated value proposition, with specialization by niche, such as investors, customers, digital and agribusiness customers. We have evolved in our model of personalized investment advice for clients with assets under management between 1 million and 5 million. Launched in August in the cities of São Paulo, Vitória and Belo Horizonte, the High Estilo segment focuses on proactive advice, asset management and On and Offshore solutions, with the aim of increasing satisfaction and market share in investments with these clients. We expect to reach 138 thousand customers by the end of the first half of 2025. Acting in a hyper personalized way and close to our customers generates satisfaction and increases profitability.



The profitability of our managed clients is almost ten times greater than that of a self-assisted client. Furthermore, our NPS at Banco do Brasil has increased 12% in the last two years and we are, for the ninth consecutive semester, among the least complained about at the Central Bank, being the institution with the best position among the large banks. And moving on to the last part of our presentation, I want to comment with you on some new features on our ESG agenda. It is not new that Banco do Brasil is a protagonist in sustainability and in the promotion of business and environmental, social and governance practices. And we have made a lot of progress on that front. We are broadcasting these results live directly from the Banco do Brasil Cultural Center, in Rio de Janeiro, a unit that marks the beginning of our work to promote culture. And it is from here in Rio that we also reinforce our sustainable actions during the G20 meetings. With the motto we care, we will take sustainability, culture and technology initiatives with the aim of mobilizing, understanding, giving voice and caring for people and the environment.

In the last three years, we raised more than 36 billion in resources abroad for investments in sustainable projects. And here I anticipate that we will announce new partnerships in the coming days. Currently, we are one of the main financiers of forestry products and biodiversity, with R\$1.4 billion in bioeconomy projects in the Legal Amazon. We are working with small agroextractivist producers, associations and cooperatives. In addition to the high social relevance, the direct relationship of this activity with income generation and forest conservation. Other important green business fronts that we have been promoting are products and services linked to the origination of carbon credits, sustainable agriculture and livestock and the recovery of degraded areas that grow every day and provide the customer with financial viability that supports environmental preservation. Well guys, to finish, I just want to reiterate the strength and solidity of Banco do Brasil. We are facing a cyclical moment in agriculture, supporting and being very close to our customers, rural producers. The result we presented is the basis that allows us not only to get through this moment, but also to continue growing in agriculture and other segments.

We deliver a Net Interest Income consistent with the diversification of revenues in the bank and in the conglomerate's businesses, without losing sight of expense control. Furthermore, we have not stopped investing in our digital transformation. Besides, our capital remains at robust levels to support our long-term ambitions. So, thank you very much for your attention and now I will let you start our question-and-answer session. Janaína is with you. Thank you very much!

Q&A session



Janaína Storti – Head of IR

Thanks. Thank you, Tarci! Well, guys, we're going to start here, the Q&A session. You can ask questions in both Portuguese and English. We will be here responding in Portuguese. And our first question comes from Daniel Vaz, from Safra. Daniel, welcome.

Daniel Vaz - Safra

Thank you, Jana. Good morning, Tarciana. Good morning. Geovanne, Prince. All good? I have two questions. First, I would like you to comment a little on the lower disbursement of the Crop Plan in the third quarter. And given that we are halfway through fourth quarter, this disbursement could have improved with the acceleration of sowing that we are seeing, especially there in the Central-West, with soybeans, right? So, I wanted to check this information with you, whether this is improving. That's the first question. And then, still in agriculture, this level of provision speaks a lot like Tarcia talked about a movement, a more cyclical moment, right? And Formation is higher, requiring a little more provision in previous harvests. How can we expect this maintenance of provisions for 2025? It seems to me to be a cyclical moment, but it also has a long way to go for at least two or three quarters. So, we already see this in your guidance, but I'm thinking about next year if this also ends up having an impact, especially at the beginning of the year. Thanks.

Tarciana Medeiros - CEO

Daniel, thank you very much for the question. Thank you very much for being here with us once again. I'm going to start this answer and then I'm going to ask Prince to complement me. Regarding the disbursement of the Safra Plan in the third quarter, we actually started a more challenging first month. We expected a larger outlay, but what happens now? We have already reached an expected disbursement level. We recovered the disbursement level, for example, from the same period in the previous harvest. So, as I announced here for you, we have 100 billion disbursed from this Safra Plan and we still have practically two months of disbursement left for this year. So, answering the first part of your question, we have already recovered the disbursement speed that matched exactly the soybean planting period, especially soybeans. Regarding the level, the levels of provision, I will ask Prince to respond with me.

Felipe Prince - CRO

Perfect, Tarcia. Daniel, thanks for the question. Nice to have you here with us again. I think that with the provisions, first you have to think that we disclose this. It, the agricultural supply, is the result of delays and drags, right? So, what are we paying in provision? The bill for transferring the delinquency from 0.5, which was the delinquency, that we entered in this cycle to 1.97,



which is where we are now. So, naturally, most of the pressure on provision has already happened. What is our challenge now? Stabilize this default and, obviously, work on recovery. I think we have to reiterate that this portfolio has more than 95% linked guarantee. It is a portfolio that, naturally, brings a much higher recovery than others. So, when you combine the stabilization of default with the more robust credit recovery process, this will make us have a less nervous flow than the one you are seeing in the current cycle and which culminated in the review of the our guidance.

Geovanne Tobias – CFO

And if I can add, there is a specific point that is reflected in this result, which is the court reorganizations, as Tarci already said at the beginning. Without a doubt, if we looked at this provision excluding the specific cases of court reorganization and here I remember the credit policy, once the farmer enters in court reorganization we immediately have to increase the provision by 30%. If it weren't for that, we would be there with a level of 1.7% risk in the agribusiness portfolio. Of course, if the disbursement at the beginning of the financing, back in July, had accelerated more and did not accelerate due to a lag in the hydrological window. There was a delay in this window, but crops are already being planted for the 24/25 harvest. An expectation, including a record harvest, right? So, that's why we have an expectation for 25 to be there, within this normal provision for this portfolio within historical levels of around 1.7.

Felipe Prince - CRO

Perfect! This is a good point to complement. When you isolate this effect that I mentioned to you from the provision arising from delay and drag, that is, the provision from new originations, what we call here good cholesterol, including it, is lower than that of the previous harvest, the which gives us a lot of confidence that we have some really cool work to be done, whether now at the end of the fourth quarter, but also for the whole of 2025.

Daniel Vaz - Safra

Got it. Thank you all and congratulations on the results.

Tarciana Medeiros - CEO

Thanks, Daniel.

Janaína Storti – Head of IR

Thanks. Our next question comes from Yuri Fernandes, from JP Morgan.

Yuri Fernandes - JP Morgan



Thank you, Jana. Good morning everybody. Good morning, Tarci, Geovanne and Prince. I want to stay here on the credit cycle because I think that perhaps agriculture stands out, this cyclical issue of worsening, of defaults, I think you explained it very well. But we also see some worsening in individuals and companies, right? And when we look at 2025, we see this issue of perhaps higher interest rates for longer. Maybe an economy slowing down a little. And the concern that I see here in the scenario is that we are in a worse credit cycle. It stopped improving, right? We had a very bad cycle there in 2021 and 22. So, the concern, that I think the market has, is whether we will see a cycle that starts to get worse. So, I wanted to get a little insight into Banco do Brasil. I think going more into the other portfolios, I think the bank has already slowed down in credit cards for a while now, it has grown close to zero, year after year. I think it's a slightly more dangerous wallet. But how is the head of the bench for 25? If this increase in ALLL that we are seeing now in this quarter should not continue for next year as well, how should the bank prepare for this? It's very quick, a second only in IFRS, in the BACEN gap at 4,966, if you have any forecast, how should this impact the bank? If you can share any numbers with the market? Thanks.

Geovanne Tobias – CFO

Thank you, Yuri. I'm going to start answering here and then I'll pass it on to Prince, so he can complement it. When we look at the individuals portfolio, I would like to bring here some numbers, firstly, looking specifically at individuals, payroll loans and other individual lines, we notice and that is very detailed in the MD&A, a stability, including in terms credit card, for example, which was a portfolio that had greatly aggravated the risk of this portfolio, today we have the lowest default rate. We closed, we held on, this even justifies the small growth in credit card operations. This is a focus of growth for 2025. Then we can explore this point further with you. But what we realize is that the main part of our individual portfolio is payroll loans. We saw strong growth in public sector payroll, with very low default rates, and we also have significant growth in INSS and private payroll. So, the average risk of this portfolio is very low. Where did we experience deterioration? Mainly on those extended portfolios.

Felipe Prince - CRO

Renegotiated.

Geovanne Tobias – CFO

Renegotiated, especially some that are coming from Desenrola. Did you understand? This is also open in the MD&A, but we are quite comfortable with this level of risk and delinquency in the individuals portfolio. And we don't expect a big deviation looking at 25, because our strategy, despite a rising environment, higher interest rates and everyone already working to close this year, including with 12%, is for the year next, reaching 13 or so. We



believe that, as our lines are those that bring a very attractive risk-return equation, mainly due to the consignment, we are able to continue growing. And then close to 10% for next year and keeping control of this default in stable individuals, the way you see it. Regarding the 4966 issue, Prince, if you could.

Felipe Prince - CRO

Of course, just adding, because there is also the issue of legal entities, right Yuri? You dissociated from agriculture, but here we have to re-associate. So the pressure that we see in legal entities also comes from companies that you have followed very well in the agribusiness chain. So, when you look at both the individuals or companies harvests, it isolates the effect on the individuals when renegotiated and the effect on the companies of these specific operations in the agribusiness chain, the portfolio would either have a stable default rate or even a little lower than that of the previous quarter. So, which makes us quite confident, because as agriculture evolves, I think that consequently we stabilize these portfolios and then we just have to calculate, right? Defaults, provisions, for example, resulting from delays in agribusiness, were three billion in this quarter. You imagine, taking this out of the flow, that it was the behavior that we had previously been channeling, for example, for results. Specifically regarding 4966, we are ready to make the key turn at the beginning of 2025. All models are already adjusted here for expected loss. We are now carrying out some implementations towards the end of the year. And what we want to reaffirm here for you is that we will not have an impact on results resulting from the adoption of IFRS9 and implementation of Resolution 4966.

Geovanne Tobias – CFO

And if I can add at this point, it is important for you to know that in our estimates with implementation, we will continue to maintain a robust volume of capital. Our expectation, which is the core capital ratio, is above 11% and we will continue paying dividends to our shareholders at a payout ratio of 45%, regardless of this implementation, because according to our estimates, we will continue to deliver a robust result that supports the growth of our business and, consequently, generation of profits that will be distributed accordingly to our shareholders.

Yuri Fernandes - JP Morgan

Thanks, guys. Just one last follow-up here on this issue that Prince commented on, so this result has no impact. It can be assumed that it has some impact on capital, but that's what Geovanne said. You still work over 11 and even in a scenario where there may be some impact, there is operational risk, there are a lot of things, right? It's going to be a really fun year in 2025. The bank is committed to maintaining this payout, it's this message just to make sure I'm not losing anything.



Geovanne Tobias – CFO

That's the message. Of course, we will make some adjustments in PL and we have enough profit reserves to absorb this, this readjustment, this adjustment. But this will not impact our ability, whether to grow, expand our business or remunerate our shareholders.

Felipe Prince – CRO

And we had already anticipated it in some previous quarters, right Geovanne? The operational aspect is already included in these projections, okay? So, we have a good 2025 to do.

Yuri Fernandes – JP Morgan

Thanks, guys.

Janaína Storti – Head of IR

Thank you, Yuri. Guys, our next question is from Bernardo Guttmann, from XP.

Geovanne Tobias – CFO

Guttmann, do you hear us?

Janaína Storti – Head of IR

We can already see you, Bernardo.

Bernardo Guttmann – XP

Good morning! Are you listening to me? Good morning everybody. Thank you, Jana, Tarciana, Geovanne, Prince. Thanks for the space to ask. I wanted to explore the bank's payroll strategy a little more. With the impact of the higher Selic and the regulatory limitation on payroll pricing, is the bank reevaluating its strategy for this line of business? Are you considering any adjustments to continue growing profitably? If you could also comment on the current competitive environment in the segment, especially with new digital entrants. Thanks.

Tarciana Medeiros –CEO

Bernardo. Good morning! Thank you very much for your question. Thank you very much for being here with us again. Speaking about the payroll loan strategy, okay? The payroll loan is one of our largest portfolios and one of our strengths. So, what would I tell you about the 2025 scenario? In 2023/24, the public sector had salary increases in practically all municipal, state, and federal government segments. So, the bank, as the largest bank in this segment, occupied the clients' payroll margin. So, for 2025, with a new salary increase, even with the Selic rate change, we have room to maintain the occupation of this payroll margin. So, this means that our current payroll



loan portfolio will not suffer any impact. But we still have a range of millions of clients to target with the payroll loan strategy. And as Geovanne mentioned earlier, one of the strategies is for private sector payroll loans, and we are expanding the public sector payroll loan portfolio. It is a business we know how to do. And it is interesting to note that for the private sector, there are some nuances that we have been announcing as part of the strategy we have been adopting. So, for 2025, we will seek growth in this portfolio. And this is independent of the Selic rate scenario.

A second point you bring up is the competitive environment. It is interesting to note that the competitive environment with banks always occurs, and we retain eight out of every ten portability requests. So, I am talking about the financial system as a whole. When we talk about payment institutions, we have not suffered any impact regarding credit portability or client migration to other institutions. So, this is important to emphasize.

What I would tell you regarding the Selic rate increase and the payroll loan segment, which I think you meant to ask about the INSS payroll loan specifically. Isn't that, right? This is the regulated line. It is worth noting that we have been operating with a risk-adjusted result, with a return adjusted to the result that this operation brings to us. And we have a very different approach from the market with the INSS. We have a different distribution structure from the market. I do not pay for the banking correspondent here. My distribution of the INSS payroll loan is almost entirely carried out by our network, which is present throughout the country. So, this already considerably reduces the cost of this line for us and brings results. Another characteristic is that we have been monitoring the Selic rate movement, and certainly, if there is another Selic rate increase, the government will need to discuss the regulatory ceiling for the payroll loan. But it is in line with what we expect at this moment in terms of results. Our result in this line is interesting. So, we will continue to grow in the INSS, operating with this line, and certainly, when the financial system needs it, the government will review this ceiling. We believe in this and work towards it.

Geovanne Tobias – CFO

If I may add here, Tarci. It is important for you to know that pricing considers the interest rate curve. So, this interest rate curve had already been showing an increase. And we have already adjusted for the different portfolios we have. Of course, it is an extremely competitive segment, and we must look not only at the level of competition, the price we can set to be competitive, but also the cost structure to attract these clients. We have managed to grow significantly due to this attraction via portability. And without a doubt, if the time comes when this spread becomes unfeasible, it will happen, as it did in the past. When there is someone who determines this gap and there is a specific committee of the Social Security that establishes it, and when it reduced too much, all banks closed this portfolio, paralyzed the portfolios,



including Banco do Brasil. So, now, we have an attractive structure, we are pricing according to the curve. So, this anticipation of interest rates has already happened. This has already been adjusted in these curves, we have this competitiveness, which is why we are growing and maintaining the risk-adjusted return. And we believe that, for now, we still have the ability to attract. This differentiates us from the others.

Tarciana Medeiros - CEO

Geovanne, I would just like to highlight that the cost of distributing this credit for us is infinitely lower than what happens in the market. Another thing is our funding cost. We also have a different funding cost compared to the composition of the financial system, and this benefits us in this line of payroll loan granting. I think these two points are also important.

Geovanne Tobias – CFO

And another thing to mention, right Tarci? When we talk about payroll loans at Banco do Brasil, there are more than 7,000 contracts, payroll agreements with different public entities, okay? So, we are confident that we intend to maintain and protect our leadership from the increasing competition from other players.

Janaína Storti – Head of IR

Is that it? Thank you.

Bernardo Guttman – XP

Great. Thank you, Tarciana and Geovanne. Good morning.

Tarciana Medeiros - CEO

See you!

Janaína Storti – Head of IR

Alright, everyone, I'll now move on to our next question from Renato Meloni at Autonomous.

Renato Meloni - Autonomous

Good morning, everyone! Good morning! Thank you for the questions. I would like to go back to Prince's comment about the agricultural cycle. Could you expand a little on how you see things evolving from now on and where you expect provisions to stabilize and then start to decrease? And my second question, also somewhat related to this, is regarding the guidance, okay? Since the beginning of the year, there has been a deterioration in the portfolio that should impact your Net Interest Income. The growth guidance was maintained, provisions increased, and the net income guidance was also maintained. What are the levers you are seeing here that are compensating for the deterioration in the agricultural portfolio? Thank you.



Felipe Prince - CRO

Perfect, Renato. Thank you. So, what is important? Geovanne mentioned, and Tarci in the introduction, that this delinquency is very concentrated in agribusiness, specifically in soybean cultivation and in the Midwest. Soybean cultivation is not even the predominant one in our portfolio. To give you an idea, our largest portfolio is livestock, which, as everyone has seen, has a very favorable outlook for the coming years. Then we have the soybean portfolio, which has faced some difficulties, but the evolution of the Crop Plan and the delayed windows, which are now materializing for the next harvest, also bring the possibility of recovery. There was no loss of profitability, but the recovery of this whole process, the evolution of soybean cultivation. Corn is also experiencing a very favorable moment, with the recomposition of margins in the field. So, when we put all this together, it indicates a very favorable movement for us to move towards normalizing delinquency.

This was a point we had been anticipating for you. So, the current delinquency rate of 1.97% is above the level we had expected for normalization. But why? Mainly due to the court reorganization processes, which we have been addressing and raising awareness among producers about, as this process sterilizes the producer in the market. In other words, because the activity is cyclical, it always demands new credits, and the producer who resorts to this type of measure becomes sterilized, unable to obtain new credits, and thus their production is interrupted. On the other hand, it gives us the possibility, due to the linked guarantees, that our recovery rate is much more favorable. And this, obviously, contributes first to the reduction of delinquency and second to the normalization of this provision flow. So, we are quite confident that, by delivering all these initiatives to improve the composition of our agribusiness portfolio, the levels of delinquency and provision will normalize.

And with that, we have the possibility of executing a very favorable 2025, because we are still seeing pressure specifically related to 2024 in the crop I mentioned to you, and this led us to make the adjustment to our guidance. As I said, there are three billion in this quarter of provisions related to delays in the agribusiness portfolio. So, you can see that if it weren't for this issue, we wouldn't even need to revise the guidance. And since we are very focused on risk-adjusted return, the risk manifested itself beyond what we had projected in this specific portfolio. Obviously, we have our 125,000 colleagues working to deliver profitability in other portfolios and, thus, enable the maintenance of the guidance, as you can see.

Geovanne Tobias - CFO

And if I may add.

Tarciana Medeiros - CEO



I was just going to say, complementing what Prince mentioned. I think it's important to emphasize that we have a portfolio that is the dream of any bank. It has a very adequate mix between the pillars. The percentage of agribusiness, individuals, and companies customer in our portfolio is very balanced today. So, when one portfolio faces a situation that needs our attention, we have another portfolio to seek compensation for the result. And Prince, you brought up something very important to emphasize: 99% of our agribusiness portfolio has guarantees. They have linked guarantees. We do not want, and it is never our intention, to sterilize the producer or to seek these guarantees. But in these specific cases we discussed here, I even mentioned in my initial speech with you that there are 210 clients in a more specific location, in the Midwest region. So, if necessary, we will enforce the strength of Banco do Brasil and seek these guarantees.

But I think it is very important to emphasize the work that has been done to raise awareness among rural producer clients about the effects of court reorganization on agribusiness. These effects are different from those of court reorganization in companies, right? The producer will not be able to take their farm and move it to another location to start planting something else. The soybean producer will continue with their farm where it is, at the same address it has always been, and they will need to plant the next cycle. So, this work of talking to clients and presenting the solutions we have before they seek court reorganization is something we are addressing very objectively, as it is a movement of predatory advocacy. We have trained our entire network, and it is worth noting that for more than five years, we have had a specialized network focused on agribusiness, which has a very strong and close presence.

So, when I say to you that the contact with the client is not via SMS or WhatsApp, it is personal contact. Our client is being guided and receiving consultancy from a specialist in person. Therefore, this part of our portfolio, which is very significant, all clients are being contacted personally by our network specialists. I think it is very important to address the seriousness with which Banco do Brasil has implemented this process of talking to the client, seeking alternatives, and renegotiating operations. And dealing very openly with the client about the consequences of court reorganization in agribusiness.

Geovanne Tobias – CFO

This point, Tarci, is extremely important because this predatory advocacy ends up harming the sector itself, as these are short cycles, you understand? And generally, a court reorganization process is very long, unless that farmer actually wants to leave the sector or sell that property to a new farmer who wants to plant, he won't be able to, because he needs to produce. We have the Rural Credit Manual, which already provides for specific situations where he can sit down with us, renegotiate, and restructure. This is even approved



by the National Monetary Council, these rules. But many are falling for this siren song of predatory advocacy. And it is through this process of explanation, right? For our customers, about the risks, what this means, this promise that lawyers are making, trying to encourage them to judicialize something that they don't need to judicialize to negotiate, to sit down with us and restructure. Unless he decides to leave the sector, because the harvest is here, the rain is falling, they need resources, they have to plant. And if he actually goes down this court reorganization path, he becomes sterilized.

Tarciana Medeiros - CEO

Geovanne, I think it is also important to inform that we are already seeing the results of this work. In the last month, we have not seen an increase in the number of clients filing for court reorganization, right? I think it is very important to mention that this work did not start last week. It began as soon as we received the first cases, and we understand that it is already bearing fruit. We have not received new cases, for example, in the last month. So, I believe this work is already having an effect. And, folks, this is not just an effect for Banco do Brasil, it is for the entire financial system. This client is harmed throughout the financial system. The consequences for the rural producer client, I repeat, are very serious.

Geovanne Tobias – CFO

So, going back to the second part of your question, Meloni. How are we going to do it? What revenue avenues will we have? I know the volume of provisions for the new NPL in agribusiness caught attention, but it is important to look at the growth of our gross financial margin. We have managed to grow credit. We expanded the margin, even with the effect of Patagonia pulling this margin to a 9% growth. If it weren't for that, we would have delivered a 12% growth. We have growth avenues being implemented now in this fourth quarter. The year is not over yet. Our network is fully committed not only to improving collections but also to generating more revenue. And I think the margin reflects this well. Our results too. With services growing almost 5% in line with the guidance. We have a huge growth avenue in credit cards. We deliberately slowed down this line to adjust. We had high delinquency rates, above 10%. Today, we have the lowest delinquency rate in the sector, in revolving credit, credit cards, and we know we need to, when we compare with our main private competitor, they have two and a half times more credit volume in cards than we do. So, this is another line we are growing, and also the non-payroll loan. We are very strong in payroll loans, but in non-payroll loans, which was another line where we were losing market share, we are recovering, even having disbursements in October above expectations, breaking disbursement records. Of course, within a very adequate return and risk equation, which will certainly improve our margin going forward. So, with all this, combined with expense control. And that is why we revised the expense guidance



downwards. We expect to save more to address this very specific hiccup coming from the new delinquency portfolio and the Rural portfolio. Okay?

Renato Meloni - Autonomous

Thank you very much for the answers, everyone.

Tarciana Medeiros - CEO

Thank you, Renato.

Janaína Storti – Gerente Geral de RI

Thank you. Our next question comes from Gustavo Schrodén at Citi.

Gustavo Schrodén - Citi

Good morning, everyone! Good morning, Jana. Good morning, Tarcia, Geovanne, and Prince. Thank you for the opportunity. Let's change the subject here and talk about the margin, shall we? I would like to understand how we can see the margin going forward. Your margin has a specific characteristic, right? At least in my view, there are three different moving parts here. There is the client margin, the market margin, and the Patagonia effect, right? It started at a very high level, with Patagonia holding the margin significantly, with the market also at a high level, and these last two items falling over the quarters. Until we reached this last quarter, I was looking at the historical series, the lowest global spread in the last six quarters, 4.8%. If we look specifically at this quarter, I think the main impacts were the market margin and Patagonia, which came in lower this quarter, while the client margin improved. How should we think about this global spread, right? Given that Banco do Brasil has this different characteristic of the margin, at least in the classifications. How should we think about this global spread in the coming quarters and especially in 2025? Patagonia is more at this level, it was 1.1 billion, market margin also lower, around 5 billion. The client margin was perhaps the main positive highlight in my view this quarter. How should we think about this global spread, this margin for the coming quarters? And also thinking about 2025, assuming you already have information about Patagonia, market margin, which I know is volatile, but some insight here would be interesting, and also the client margin itself. Thank you.

Geovanne Tobias – CFO

Thank you, Schrodén. First of all, we understand that both margins are important. We have had specific strategies in the treasury that have brought positive results for the bank. Now, looking specifically at the margin with clients. Don't forget that we have today, among the banks, what I believe is the best funding cost. This gives us great freedom to grow in lines such as payroll loans, for example, as Tarciana has already mentioned.



But there is a specific line where we kind of fell behind. We were kind of lagging behind our private competitors, which is in the non-payroll loan segment, we lost market share and also in the credit card revolving. So, looking at this margin going forward. What we believe is that what will bring greater growth, a greater margin gain, will be these lines with higher margins. So, this 4.9 global spread, the expectation, without a doubt, as we have maintained this balance, is one-third, one-third, one-third in Corporate, Agribusiness, and individuals. And when we look at the mix of individuals, we will seek to recover our market share in the non-payroll loan and grow in the private payroll loan, which also brings a higher margin, and grow in the credit card.

We believe we can improve this spread, while of course maintaining strict risk control. We don't want to be surprised by what happened in the recent past with that open sea. Just to give you an idea, we have 120 million account holders. Today, approximately only 25 million effectively use their card frequently, what we call clients with activated cards, in this case, activation. So, you have a huge pool of clients who have a card, whether debit or credit, and only about 20 million are effectively heavy users of this card. So, we have a huge pool to deepen and explore. We have segmented a lot in PFA, PFB, but we have a High C or D, the High E that we have the conditions to deepen. For this, we invested in the new onboarding. It was a journey that was bringing a lot of friction. So, we redid the entire onboarding this year.

So, we believe that for next year we have an expectation of continued growth in the portfolio despite the environment, the Selic rate, looking here, will be higher, right? But we believe that we have the conditions to be quite competitive, either due to the cheaper funding cost and the change in the mix, growing in lines with higher spreads. And then, looking ahead, keeping Patagonia within what would be expected, within normality. And this drop in Patagonia was already expected. We had already been anticipating it for you. It just took a while to happen, but the exchange, you had the drop in the interest rate, the drop in inflation, the exchange rate itself ended up bringing this reflection now, but we believe that looking at 2025 we will have a better recovery of this spread.

Tarciana Medeiros - CEO

Geovanne, I think you touched on a very important point. We lost share in the non-payroll credit portfolio and the card portfolio because there was homework to be done. We had, back then, a spike in delinquencies in these two portfolios. We understood that our risk models were not adequate for us to venture into open waters. And even there, in the cove that we call the cove, of the 40 million non-business clients currently, that's what we call the cove. But we understand the profile of the C, D, and E clients. This is a segment that we had been looking at more rigorously. We clustered these segments, and we have a very interesting client profile in each of these



segments. So, as Geovanne mentioned, we have approximately a base of 24, 25, 24 million clients who are card reviewers, but we have a universe of another 60 million business clients who are already with us for us to seek card placement at extremely rigorous risk analysis levels. So I am fully convinced that this will be one of our avenues of results for 2025.

Felipe Prince - CRO

Perfect, Tarci. Just to conclude, Gustavo, I think the third quarter already brings a proxy of this strategy. You can see the delinquency of individuals rising slightly, but you will see that it is concentrated in renegotiated portfolio operations. In other words, we have already expanded non-payroll credit in this quarter, with better vintages and the risk extremely adequate to the return that this portfolio offers us.

Janaína Storti – Head of IR

And Schrodén, just to wrap up the margin account, we talked a lot about the credit part, the funding, but let's not forget the treasury effect, right? We have significant growth there, even with a reduction in Patagonia, our treasury, looking at the bank in isolation, has significant growth in the quarter and then the effect of the interest rate context, the liquidity movement, which continues to flow to the bank, so this also contributes. I think all these elements bring a positive carry for us in terms of margin for 2025.

Geovanne Tobias – CFO

No doubt about it. Well remembered, because in funding, practically half of it is what we would call fixed at 6%, which is savings, judicial deposits. So, we also have a good avenue for margin generation through the spread on funding.

Tarciana Medeiros - CEO

Geovanne, when we talk about expenses, I think it's worth highlighting that part of it is investment, right? Everything we're discussing for 2025 comes with a lot of embedded technology and the evolution of our analytical intelligence and generative AI models. So, we will not stop investing where it's needed for the bank's growth and increasingly putting the bank's people at the service of the client. More and more people doing business. So, every repetitive process, every standardized process, we will seek to embed intelligence to gain more and more efficiency in the processes.

Janaína Storti – Head of IR

Well remembered.

Geovanne Tobias – CFO

Okay?



Gustavo Schroden – Citi

That's great. Super clear. Just a quick one. The effect tax rate was lower now, any explanation for us? Why was it lower? How should we think about this rate until the end of the year? Thank you.

Geovanne Tobias – CFO

We had been giving you a soft guidance of a tax rate around 20%. It might come closer to 18 for the year, right? We had three basic effects that explain this tax rate. The first one, no doubt, was the events that happened in Argentina. You ended up presenting a fiscal loss there. It was necessary to establish a tax credit in Argentina. So, when we consolidate this, how do you say it?

The consolidation of Banco Patagonia into Banco do Brasil brought a reduction of around R\$ 600 million. Another effect that reduced our effective tax rate was approximately R\$ 400 million. This was due to the tax shield from interest on equity (JCP), not only from the increase in the long-term interest rate (TJLP) but also from a larger equity base. This resulted in us paying more dividends and JCP, which ended up deducting a larger amount from our tax base. Lastly, specific cases that happened abroad, involving losses that generated a fiscal loss and allowed us to establish a tax credit. This happened at the beginning of the year, but we had to wait for some reports from abroad to ensure the recoverability of these losses. After the reports were approved, we had to recognize these losses from abroad due to the establishment of a tax credit, which resulted in a reduction of approximately R\$ 500 million.

So, these are the three major effects that brought our tax rate to this level this quarter. But we believe that, looking at the annual vision, you should wait a little because of these effects. So, a reduction from that 20% that we were guiding to close to 18%. OK?

Gustavo Schroden – Citi

Perfect. Thank you very much.

Janaína Storti – Head of IR

Good, let's move on to our next question. I would like to call Eric Ito, from Bradesco.

Eric Ito – Bradesco

Good morning, Tarciana, Janaína, Geovanne and Felipe, thank you for the opportunity to ask a question. I have two here by my side too. The first is a follow-up on the margin issue, mainly in Patagonia. here. Geovanne commented that normalization was expected. If we look at Patagonia's



result it was close to the last quarter, close to a bi. But the tax rate came with the benefit of the tax credit, if we adjust to a tax rate similar to the last quarter, close to 20%, we would generate a profit for Patagonia close to 500 million. Do you think this is the level of normalization that we should expect, expect from now on? Or can you expect a little more normalization impact here for Patagonia? If you could also quickly comment on the sensitivity of a 100 bps increase in the Selic on your margin. And my second question, quick here too. What do you expect for a sustainable long-term ROE for the bank? Thanks.

Geovanne Tobias – CFO

Well, first of all, thank you, Ito, for the question. It's very difficult to try to estimate what will come from Argentina, right? But we believe that, without a doubt, a sustainable level of what would be Patagonia's result between 500 and 700 million is more or less what we have been guiding. So, I think your calculation is pretty much within what we expect. It's important to remember, right? Basically, we are talking about liquidity. On one hand, there was a reduction in the interest rate that impacted Patagonia's result, but on the other hand, there was also a release of the funding cost remuneration because, by government mandate, we were required to remunerate, if I'm not mistaken, 110% of the base rate there. And now we have managed to adjust this spread.

Almost no credit exposure. So, we are basically talking about treasury operations in Patagonia, given the macroeconomic conditions of the country. Assuming that the adopted policies will bring the economy to normality, it is still treated as a hyperinflationary economy, despite the drop in inflation to 4% per month, if I'm not mistaken. But even so, it remains a scenario that is difficult to predict, right? That's why we have focused a lot on business operations in Brazil. And then, specifically talking about the Net Interest Income, we have opportunities not only in the relationship margin with clients, in credit growth, but also in treasury gains. In terms of sensitivity to interest rate increases, it's important to see the distribution of assets and liabilities, as I mentioned. On the liability side, an increase in the interest rate should result in a gain in the spread on funding. Of course, term deposits are automatically adjusted because they are floating rate.

But we have a large contingent of fixed-rate instruments, which are mainly savings and deposits. This also brings positive impacts, but we do not foresee significant changes due to 100 bps. This applies whether there is a rate reduction or an increase, and the annual impact is, I would say, marginal. Another question you asked us is about what would be a sustainable ROE for the bank? We are not yet talking about guidance for 2025, but we believe that an ROE in the range of 20%, which would be in the high teens, around 20%, is a very healthy and sustainable ROE for Banco do Brasil. And I don't know if there are any other questions pending response, Ito?



Eric Ito – Bradesco

No, these are the ones. Thank you.

Geovanne Tobias – CFO

Ok? Thank you, Ito.

Janaína Storti – Head of IR

Thank you. And our next question comes from Mário Pierry, from Bank of America.

Mário Pierry - Bank of America

Good morning, everyone, thank you for the opportunity to ask a question. I think most of the questions have already been asked, so I wanted to ask a question again, a bit more challenging. When you changed the provision guidance for this year, you left a very wide range. We're talking about reaching your range, we're talking about 7.6 billion to 10.6 billion in provisions in the fourth quarter, and there's only a month and a half left in the quarter. So, when we look at this guidance, do you see, today, a possible scenario where the provision increases even more in the fourth quarter? And the same question is valid for net income as well. You kept your range, which is quite large. And then we could see a net income of 8.7 billion to reach the low end of your guidance, which seems quite low to me, given that you are generating close to 9.5 billion per quarter. So, I just wanted to understand a little better your confidence in the new guidance.

Felipe Prince - CRO

Ah, perfect! Mário, thank you. I think that, although we are in the middle of November, we still have a month and a half to finish the year. And as I mentioned throughout our conference, the great pressure on ALLL comes from agribusiness. And what is important to highlight is that agribusiness operations, unlike other operations, primarily involve financing with a single maturity date. They are not installments. And that is what happens when the client regularizes, they also regularize the entire operation, and by doing so, it naturally helps to reduce the provision flow. So, we are working intensively in this collection process, in this process of calling producers to regularize their situation and, obviously, to be eligible to take out resources for the new cycle. And with this, we see these payments translated into reductions in the provision flow. That is why, even though we are 45 days away from the end of the year, we have a range to present to you because we believe that this well-executed work can lead to the stabilization of the provision flow. And, obviously, we do not expect a flow higher than what was delivered in the third quarter.

Tarciana Medeiros - CEO



Prince, I think it's worth highlighting, as we mentioned, in this first month and a half of the quarter, we observed the court reorganization movement, and our projections are also impacted by this. And as I mentioned earlier and this week, and as Prince mentioned, the quarter is ongoing, this week we already observe stabilization without any new court reorganization entries this month. But obviously, in the projections we made, we consider this movement that happened at the beginning of the quarter. We do not expect an increase in this for the rest of the quarter. And this aligns with the guidance we are declaring. Another point that I find interesting, and I'll take the opportunity since Pierry brought up this question. Thank you very much for already expecting from us a level of results the size of Banco do Brasil, okay? Thank you very much for expecting between 9 and 10 billion, because I always said that Banco do Brasil's results would be the size of Banco do Brasil's capacity to generate results. So, we are on another level. I think this conversation of ours has lasted two years and has yielded very good results. So, I'm happy that you are already expecting us to maintain this result, at least between 9 and 10 billion. Thank you very much.

Geovanne Tobias – CFO

Mário, thank you. I know you know how to do the math. And without a doubt, I've already given you some hints here. For example, non-payroll loan disbursements. Non-payroll loan disbursements have been hitting records during this fourth quarter.

Tarciana Medeiros - CEO

Just so you have an idea, we are disbursing almost double the average for the year.

Geovanne Tobias – CFO

Exactly. So, this will certainly help us close this gap. The range, at this point I disagree with you, I think we set a range of 3 billion, right? From 37 to 40. From 31 to 34, right? And there is a margin we have, of course, we always aim for the center of the guidance. It may be that we go to the high end, to the low end, or we end up in the middle, but here it's like a basketball game, Mário, it only really ends when the buzzer sounds on December 31st, December 30th. By the way, because it's a holiday, right?

Tarciana Medeiros - CEO

Preferably with a three-point basket.

Geovanne Tobias – CFO

Yes, with three-point baskets. We are here. The numerology is an arrangement of 3 three-point baskets, okay? Thank you for the question.

Tarciana Medeiros - CEO



Thank you, Mário.

Mário Pierry - Bank of America

Thank you, everyone.

Janaína Storti – Head of IR

Thank you. Our next question comes from Carlos Gomez-Lopez, from HSBC.

Carlos Gomez-Lopez - HSBC

Thank you. I will ask the question in Portuguese. Regarding the agribusiness portfolio, for us to understand, the problem of court reorganization is a strategy of the producers, not the bank. The bank wants to discourage the use of court reorganization. So, my questions are: first, what is the coverage of this concentrated portfolio at the moment? Second, when do you expect to exercise the guarantees if necessary? And how confident are you in being able to exercise the guarantee, because having a concentrated portfolio always has more political and social consequences, so do you believe that 99% of the guarantee can be enforced and in how much time? And a separate question about the 4966, does it have an impact on CET1 and in the numbers you have given an estimate of 80 basis points, is that the approximate number? Thank you.

Felipe Prince - CRO

Perfect, Carlos. Thank you for the question. Regarding the portfolio coverage, it remains quite healthy. So, there is almost 170% coverage in the agribusiness portfolio. Remembering that this shows the resilience of this coverage, because we started with a delinquency rate of 0.5. We are now at a delinquency rate of 1.97. The coverage exists exactly for this, so that in these moments of stress we can use it and not bring additional impacts to our balance sheet or the institution's performance. So, we are quite comfortable with the coverage. It gives us the ability to continue facing this increase in delinquency in agribusiness and, obviously, by reducing delinquency, this coverage is reconstituted, and we return to levels of around 200%, which is what we indicate as satisfactory in moments of stability of these portfolios, okay? Regarding the guarantees, it is a good point. And we have been quite emphatic in negotiating with producers that we will exercise our rights. In fact, we have a strong work with our legal department, where those producers who have not approached us to renegotiate and who are systematically late, we are anticipating the process of executing these guarantees. And then, obviously, this has an interesting effect, because you will not necessarily recover this credit by repossessing the asset. Often, with the pressure of executing the guarantee, the producer returns to the table, renegotiates, and pays their overdue credit. So, it is a very important process that we also detected needed to be more agile and aggressive. And we have been doing this. We are and want customers to sit with us and renegotiate.



But obviously, those who do not renegotiate and are systematically late, we will make use of our guarantees and we are doing so. So, you will see Banco do Brasil quite active in this process of execution. And then, obviously, this elevates our recovery and is part of our overall stabilization plan for the provision flow. Regarding the 4966, I think we have been quite clear here during the conference. We will not have an impact on our results. And, obviously, the impact to be generated on our capital, we are not anticipating numbers, but, as Geovanne mentioned, any eventual impact will keep our capital at very healthy levels, above 11%, which is our target range.

Carlos Gomez-Lopez - HSBC

Regarding the coverage, I would like to know the coverage of the soybean portfolio. Where is the coverage problem? Why have you grown by 30% now? Are we now at 30, are we at 60, where are we?

Felipe Prince - CRO

The coverage of the soybean portfolio is quite similar to the coverage of the agribusiness portfolio as a whole, because being the crop that has caused the most delays, it is the one with the highest volume of provisions constituted, so it ends up being a proxy for the general portfolio coverage. And maybe you were asking about the coverage in guarantees, and the percentage is the same, okay? 99% of the portfolio has real guarantees or risk mitigators, which also allows us to be very active in the process of collecting and recovering these credits.

Carlos Gomez-Lopez - HSBC

Thank you.

Janaína Storti – Head of IR

Ok, Carlos, thank you. Continuing here, I would like to invite Pedro Leduc from Itaú to ask the next question. Pedro, are you with us?

Pedro Leduc- Itaú

Two quick questions. First, regarding the renegotiated portfolio, we see that despite fewer contracts, it has been growing slightly above the total portfolio, with delinquency rising. Do you see this as something more circumstantial here, or is this how we should expect it to evolve in relation to the bank's total portfolio next year? And the second part, regarding the expense line in the "other" category, the Legal Risk, legal risks have risen a little, quarter by quarter. I know there is volatility, but could you give us a sense of how this should evolve for 2025? Thank you.

Felipe Prince - CRO

Perfect, Pedro. Yes, the renegotiated portfolio obviously concerns us, but it is still at quite acceptable levels, especially when compared to the market



average. Obviously, all this pressure from delinquency in agribusiness also channels into the renegotiated portfolio. Additionally, as we mentioned here, we have gone through two risk mitigation processes in our other two portfolios. The first was the open market, mainly in non-payroll loans and credit cards, which later associated with the Desenrola program. The other was in micro and small business credit, which was a process we worked very hard on during the first half of the year to mitigate the risk of these two portfolios. So, it is natural that in this process, especially since Banco do Brasil did not make any active portfolio sales. In other words, our renegotiated portfolio, if we can call it that, is clean because it has no sales to third parties. So, obviously, this carries over from the two previous processes we discussed with you. And it adds to the agribusiness scenario that we have been discussing throughout this conversation with you. What do we expect and are working hard for in 2025? First, the recoverability of the Agribusiness portfolio is much higher due to the guarantees and risk mitigators linked to it. Having a renegotiated portfolio with a larger composition of agribusiness, and there is no comparison, because given the moment agribusiness has experienced in the last five years, our renegotiated portfolio was practically lacking, let's say, agribusiness credit. So, having this credit incorporated, it will be natural for our recovery to be better, and with better recovery, we believe it stabilizes not only the portfolio growth. So, we will work in 2025 with a scenario of no growth in the renegotiated portfolio. But another thing we are pursuing here is the issue of reducing delinquency. Historically, the delinquency of the renegotiated portfolio is also beyond what we have been delivering. We believe there is a lot of potential here to exercise our collection process very actively and also to reduce this delinquency. Lastly, we are studying, just as we did in 2020, the possibility of using some active portfolio assignment strategy in 2025. We haven't done this for three years but depending on the portfolio and the probability of recovery, and obviously respecting the return that the market provides us in acquiring part of this portfolio, we may also use this strategy. Regarding legal risk, it is natural. There is a stronger movement in the judiciary in the second half of the year, accelerating judicial processes and resolving demands. Mainly, what we have done here is a process of sanitizing these demands. Recently, a ranking from the Superior Court of Justice was released, showing that Banco do Brasil has been systematically decreasing in the volume of judicial demands, which connects with our very active process of executing agreements. Our mantra is that the agreement effectively mitigates risks and makes it financially more advantageous to make the agreement at the beginning of the demands. This also aligns with the customer satisfaction that President Tarciana mentioned to us. It is natural that by fostering this strategy, there is a slight increase in legal risk, but still within the soft guidance we have been sharing with you. And the good news are that by doing this, we are cleaning up the balance sheet for the future, as a result, the outlook becomes quite positive.



Pedro Leduc- Itaú

Thank you, Prince. Thank you everyone..

Tarciana Medeiros - CEO

Thank you.

Felipe Prince – CRO

Thank you.

Geovanne Tobias - CFO

Thank you.

Janaína Storti – Head of IR

Thanks. Our next question comes from Eduardo Nishio, of Genial.

Eduardo Nishio - Genial

Hello, good morning, everyone. Good morning, Tarciana, Janaína, Geovanne, and Prince. I wanted to revisit two topics. The first is regarding how we could think about the dynamics of ALLL and asset quality in the coming quarters. Looking at the new guidance, it implies a substantial reduction in provisions for the fourth quarter. Implicitly, it's in the middle of the guidance and probably also in the middle of the guidance. A drop of 10% quarter-on-quarter to 9.1 billion. I wanted you to tell us a bit about what you are seeing in terms of delinquency in this context. You mentioned a bit about each line, right? Corporate, you have the issues being resolved with agribusiness, personal, stability. I wanted to know how you are seeing the trajectory of delinquency because if you look at the graph or the trend, delinquency has been increasing for quite some time, right? I think it has already returned to pre-pandemic levels, right? With the consumption of coverage this quarter being relevant. If you could also comment a bit on the coverage part, I think there was an impact from Americanas that consumed a bit. But if you could talk a little about this context of asset quality, I would appreciate it. And my follow-up is on the tax issue, right? Geovanne mentioned 18% and 18% would imply a significant increase in the fourth quarter tax. And doing a quick calculation, you still have an interesting potential for Interest on Equity for the fourth quarter, right? Which should bring your rate to levels close to 20%, anyway, I wanted you to comment if there is a possibility of it being less than 18%, right? Because according to the calculations here, there would be this room, right? Unless the fourth quarter is much heavier in terms of taxes. Thank you very much.

Geovanne Tobias - CFO

Thank you. I'll start with your last question. Without a doubt, we don't provide tax rate guidance, but I think you can work with around 18%, maybe



a range between 15% and 18% makes more sense based on your calculations, okay? Regarding ALLL, we are already at the level of 26 billion. We adjusted the range so you stay in the middle of the range, I would have to stop at 35. So, we are talking about something between 9 to 10. If it's 10, repeating, of course, it will also depend a lot on how rural and especially RJ behave. October data already gives us more encouragement. Then I would be closing there, near the middle of the guidance and going to the high end. But I would prefer not to be too specific. I think we will work on this, as I said to Mário Pierry, here it's like a basketball game until the last second, we are running after it. Either by increasing income, generating more income, controlling expenses, or addressing the provision issue. And then I'll pass the word to Prince to continue.

Felipe Prince - CRO

Perfect, Geovanne. Nishio, you must imagine that the delinquency transition was higher this quarter. So, this transition is what brings the ALLL, which made us change the guidance, which was exactly those three billion I mentioned to you. Remember, if you look at the other portfolios and exclude the renegotiated ones, all our origination batches are more favorable and are bringing lower ALLL, the good cholesterol, with them. In other words, we are originating better assets. What happened is that this quarter I had a very strong delinquency transition in agribusiness. This led to a high provision expense due to this delay and made us revise it. Our challenge now is to control delinquency. But what you must imagine for both the fourth quarter and 2025 is that we will not have a delinquency transition of the size we had when it went from half to two, so it is natural that the flow will be dampened from now on. Besides being natural, there is all the work we are doing here to mitigate these risks. And this aligns with the ALLL guidance account that we will deliver now and also with the projections for 2025, which you will see in due course. Delinquency has been rising for some time. I prefer to see it another way. Credit card delinquency is completely stable. Maybe, and with the balance also growing little, but why growing little? Because we chose to remove the risk from this credit card portfolio. And now we have the possibility to start a new cycle with a totally resilient and profitable portfolio. Unlike the previous cycle, where we entered with a small portfolio and took on some risks beyond what we should have, now we have a robust, resilient portfolio and are very confident in the tools we must grow in this segment. This also applies to the non-payroll segment. The payroll portfolio's defaults is also completely stable. So, summarizing the individuals segment, the delinquency comes from renegotiated debts, which was an event we already expected. Therefore, we do not expect new delinquencies for 2025. We should expect an individuals portfolio with returns fully adjusted to risk and contributing to our results. In the companies portfolio, it's the same thing. If you exclude the effects of companies related to the agribusiness chain, we will see a stabilization in



companies delinquency. This aligns exactly with what we mentioned in the first half of the year, that we will dedicate significant effort to stabilizing the delinquency of our SME portfolio. We believe that by working on productive chains and improving the primary relationship with our corporate clients, we can also deliver performances beyond what we have been achieving. And if you look, excluding the effects of renegotiated debts, we are already delivering this. Agribusiness is exactly what we talked about. So, if I stabilize the delinquency in agribusiness, I will naturally have a provision savings of 3 billion per quarter. So, trying to be very objective and connecting the numbers here so you can understand, there is a lot of value to be captured in this process of stabilizing agribusiness delinquency. Now, obviously, when delinquency rises, it consumes part of the coverage, which was another topic you mentioned. We establish coverage precisely for this reason, so that in unfavorable cycles, we have a cushion that can absorb the impact and give us the capacity to face these cycles. And this is being done with the coverage we had established. We are prepared for new cycles, as I mentioned in personal finance and corporate, and by resolving the agribusiness cycle issue, the coverage is naturally replenished, and we have every possibility to finance our growth for 2025. So, the message I think we should take away is that by stabilizing the agribusiness issue, the outlook is very favorable for the performance of Banco do Brasil's portfolios, for the stabilization of provisions, and consequently, for our delivery of results.

Janaína Storti – Head of IR

Thank you, I'll now move on to our last question of the day. I would like to invite Henrique Navarro from Santander. Please, Navarro.

Henrique Navarro – Santander

Thank you, Jana. Good morning, it's always a pleasure to speak with you. My question is about 2025, okay. Well, I know you will provide guidance only in the fourth quarter. I understand that this guidance will be given in BR GAAP. Now, looking at 2025, the macro scenario becomes a bit more challenging each day. We have this issue with agribusiness, and judicial recovery, for example, is an instrument for large producers. When you see signs of court reorganization, there is a whole chain of micro and small producers who do not have access to this instrument. In other words, when we see signs of court reorganization, it is usually worse than what we are seeing. We have the issue of 4966, which I understand that this transitional balance will not impact the results, it transits in capital, etc. But looking at 2025, the portfolio being originated will naturally require a bit more provision. And finally, when we look at 2024 and 2025, we have a very strong 2024 from Patagonia, so I have hard comps. So, where am I getting at? If we look at the Bloomberg consensus numbers, they suggest flat net income for Banco do Brasil for 2025, and it is not uncommon to find some investors who believe in a decline in Banco do Brasil's profit for 2025. So, my question is, is there



any scenario we can discuss where we can announce profit growth for Banco do Brasil in 2025? And where would this growth come from? Thank you.

Geovanne Tobias – CFO

Thank you, Navarro. Without a doubt, talking about profit growth for 2025 is still very early. We are still in the process of finalizing our budget and what would support our guidance to be disclosed. But I think your reading is partly correct. In another part, I would see it differently. Without a doubt, in agribusiness, as Tarci mentioned, there is no crisis. For example, with small farmers, everything is super normal. It is a very specific case involving a few clients, and we are addressing it so that it does not become a sector-wide problem, which would be detrimental to everyone. Regarding how we will deliver a result for 2025 with 4966, your reading is correct. The new concessions will demand, at the origin, provisions that we would not eventually make, for example, for a double-A credit. But we believe that as we manage to expand our credit card portfolio or non-payroll loans, which will bring margin, and you compare this with 2024, we will be altering this mix in a higher interest rate environment, which also favors the margin on the funding side. So, we do have the conditions, in our view, to deliver a profit, not in double digits, but in single digits. Now, I would not like to assume or say that it will be high single digits; we still need to be very cautious, precisely because we will have to go through this moment of addressing the issue, particularly the provision related to agribusiness. And if you could add a bit, Prince, on this new methodology, the provision goes up by elevator and the recovery comes down by stairs. If you could explain this to the people.

Felipe Prince – CRO

No, Henrique. Your point is good, but it's important to delve into the differences in our portfolio. So, first, regarding court reorganization, your diagnosis is perfect. And why do we believe there won't be court reorganization for small producers? Because we don't even have delinquency among small producers. Agribusiness continues to generate margins, margins in the field are positive, there is no crisis in agribusiness, and producers who are financially healthy are making money. As a result, we don't have delinquency in our medium and small producer portfolios, which used to be the first to suffer. There is no delinquency in this segment. So, this is a point that makes us not expect court reorganization in this sector because there is no delinquency in this segment, right? Sorry. And with 4966, although higher provisions are required for unsecured operations, you must consider the minimum requirements set by the Central Bank. They also allow for lower provisioning of secured portfolios, which are exactly the predominant portfolios in our portfolio. So, you can't compare Banco do Brasil with other institutions because intrinsically our portfolio is different, it is safer. By being safer, even if I require more provisions for unsecured



portfolios, more expected loss, right? I won't even call it provisioning anymore. For secured portfolios, I will require less expected loss, and when you balance this out, not necessarily, okay? I'm not talking about the transition. I'm talking about the business already functioning, not necessarily will you have a flow pressure on Banco do Brasil's provisions, and with that, we understand that we have full capacity to deliver good results in 2025.

Geovanne Tobias – CFO

And on this point, it's interesting, Prince, because we started 2024 with the market, many analysts talking about peak earnings. Then we said, no, we challenged ourselves to deliver high single-digit growth for you. We are, and we believe we will finish the fourth quarter delivering this growth. For next year, we will have this debate as well, and it wouldn't surprise me if many start talking about flat earnings, as they did at the beginning of 2024, or even a decline in profit. That's not what we are seeing, and the opportunities we have, the avenues for generating results ahead of us, are significant. We have a lot of catch-up to do recovering market share, generating more results, creating more business. There is still a portion of our customer base that we can explore even more, improve primary relationships, generate more business to be able to deliver in an environment that will, of course, be more challenging with slightly higher interest rates. But we were at this level of interest rates before, and we were still delivering results. Okay?

Tarciana Medeiros - CEO

Geovanne, I would like to add something about our commercial strategy, which is somewhat intangible. We have invested in and are already seeing very interesting results from a new CRM platform. We have been talking about this quarter after quarter, but now we have consolidated the implementation of this new CRM platform. I mentioned this before: over 2,850 new models were created by our specialists, generating more than 480 million customer interactions. When we talk about interactions, it's different from contacts. Interaction means that my client saw, received, and engaged. It wasn't a cold contact. And this is what the new CRM platform has made possible for us. So, as a result, for example, we have already observed double the disbursement of non-payroll loans. And for 2025, what can we anticipate? An expansion of the specialized network. It's a model we have been investing in for five years. I mentioned our Estilo and Private segments, which have completed 20 years, but these models have evolved in specialization. So we have. We are the only bank in the market with specialized models for different client profiles. So, we have the Estilo Investor network, Estilo Agribusiness, Estilo Agribusiness Investor, Private Agribusiness, and Private Agribusiness Investor. This specialization model, which we have believed in and invested in for a long time, will undergo expansion in 2025. Another important point to mention is our focus on being



phygital. I have been very vocal about this. So, in 2025, you can expect Banco do Brasil to be increasingly phygital, delivering both physical and digital services to clients as needed. This brings results because it increases efficiency. Another point to highlight is new AI models. We will introduce new models. All of this is supported by our investment in technology and the acceleration of digital transformation. And here, when I talk about accelerating digital transformation, it's not that we weren't digital before; we have been investing in this process for a long time. The acceleration is to ensure we are available to the client when they need us, at the time they need us, on the channel they use the most. It may sound cliché, but when we talk about delivering a bank for each client, it's a strategy that brings results. And being available as the client needs us means leveraging the efficiency gains from automating operational processes so that we have an increasingly specialized network focused on doing business with clients. So, this commercial strategy becomes intangible when we look at the balance sheet and results, and the numbers don't capture it. But we have seen considerable evolution in our service and commercial models' quarter after quarter. I think it's also important to bring this anticipation of the 2025 commercial strategy.

Janaína Storti – Head of IR

Thank you, Navarro. Well, everyone, I thank you all for your participation. I will now close the Q&A session. I'll leave the team here, and I am also available for any additional questions that may need answering. I look forward to seeing you at the next results announcement. Thank you all.

Tarciana Medeiros - CEO

Thank you, everyone. See you.

Felipe Prince - CRO

Thanks!